

Let's say a company has debt of Rs.200 Cr maturing in the current year. Thus, the company must have Rs.200 Cr worth of assets maturing in the same year or cash flow. Let's say they have to repay Rs.200 Cr and they have Rs.500 Cr worth of land. However, this land will take few years to be realized. In this case, despite having an asset, they would not be able to repay the debt. This is because their asset and liability do not match.

Asset liability match means that the timing of your liability maturing and asset generating cash flow should be the same. If the timing of the two are similar, then cash flow management from a debt repayment point of view, should not be a problem for the company.



It is important for a company that relies on short-term borrowings to have a liquidity in short-term assets, such as current investments or cash and cash equivalents as well.



The short-term borrowings must not be used to buy investments like land or invest in long-term projects. It is essential to check the company's history to know more. Check whether the company was historically able to refinance its liabilities. **Particularly, we need to understand if the company was able to re-finance its liabilities in the past.**

In this case, since the company's short term borrowings are well covered by cash flow, we do not need to worry about asset liability match. In case the company did not have enough cash flow, then we would have looked at asset-liability match.